

Large Adjustment Generator

User Guide - Payroll Ops Suite

Overview

The Large Adjustment Generator (LAG) builds payroll adjustment CSVs for bulk employee corrections. It calculates federal and state taxes per employee, respects wage base limits using YTD data, and produces CSVs formatted for direct upload to the payroll system. It supports both Net Pay and Gross Up modes, handles supplemental withholding rates, and can split output into multiple CSVs to stay under the \$10,000 employer debit limit per file.

Processing Pipeline

The tool processes data through the following stages:

- 1. Employee data is pasted (MID, Amount, State) on the Employee Data tab.
- 2. YTD Medicare wages are loaded from the Data Dump CSV (MEMBER_ID + TOTAL_GROSS_AMOUNT).
- 3. Per-employee tax rates are auto-loaded based on their state, with optional overrides.
- 4. For each employee, taxes are calculated against the gross amount using federal and state rates.
- 5. Wage base limits (SS, SUI, FUTA) are applied using YTD data to determine taxable portions.
- 6. CSV rows are generated: one Clearing/Credit row per tax line, plus a consolidated Company/Debit row.
- 7. If Split CSV is enabled, employees are grouped so no single file exceeds \$10K in employer debit.

Tax Calculation Logic

Net Pay Mode

In Net Pay mode, the entered amount IS the gross. Taxes are calculated on the gross and deducted to determine the net payment. The CSV records the gross as the adjustment amount.

Gross Up Mode

In Gross Up mode, the entered amount is what the employee should receive after taxes. The tool uses binary search (up to 300 iterations) to find the gross amount that, after all taxes are deducted, yields the desired net. Convergence threshold: \$0.001.

Social Security (00-403 / 00-404)

Rate: 6.2% employee + 6.2% employer. Subject to annual wage base limit (2024: \$168,600 / 2025: \$176,100 / 2026: \$184,500). Taxable amount = min(gross, remaining room under wage base). Room is calculated as: wage_base - YTD_SS_wages. If employee is already over the wage base, SS taxable = \$0 and no SS row is generated with tax.

Medicare (00-406 / 00-407)

Rate: 1.45% employee + 1.45% employer. No wage base limit - full gross is always taxable.

Additional Medicare (00-901)

Rate: 0.9% employee only. Applies only to wages exceeding \$200,000 YTD. The tool computes: (YTD_med + current_gross) - \$200,000 threshold, minus any amount already over the threshold from prior wages. Only the incremental amount above \$200K in this adjustment is taxed. Row is omitted entirely when taxable amount is \$0.

FUTA (00-402)

Rate: 0.6% employer only. Wage base: \$7,000 annually. When the employee is already over the FUTA wage base (taxable = \$0), the row is still emitted but uses gross_earnings_amount instead of taxable_amount to record the wages. FUTA can be toggled off entirely via the Settings tab.

State Taxes (Employee + Employer)

State taxes are auto-loaded based on the employee state. Each state has its own tax code, rate, and optional wage base limit. The DESC_TO_CODE mapping converts human-readable tax descriptions to system codes (e.g., "California - Employee SDI" -> "CA-401"). When "Only Income Taxes" is enabled, non -450 codes are excluded except for California which retains all codes.

SUI (State Unemployment)

SUI rates and wage bases are configured per state and JWEG in sui_config.py. The tool looks up the correct rate via get_sui_total_rate(state, jweg) and applies the state-specific annual wage base. SUI reporting type (PEO/Client/Hybrid) determines applicability.

Supplemental Withholding Rates

When "Supplemental Rates" is enabled, Federal withholding uses the flat 22% supplemental rate instead of standard withholding. State supplemental rates are looked up per state and year from a built-in table. Wisconsin uses graduated brackets based on gross amount: \$0-\$12,760 = 3.54%, \$12,760-\$25,520 = 4.65%, \$25,520-\$280,950 = 5.30%, above = 7.65%.

CSV Output Format

Each CSV contains the following columns:

- account_type: "Clearing" for tax lines, "Company" for the debit roll-up
- entry_type: "Credit" for tax lines, "Debit" for the company total
- adjustment_date: the date entered on the Settings tab (MM/DD/YYYY)
- amount: the dollar amount for that line
- cid: company ID (stripped of leading "C")
- tax_code: system tax code (e.g., 00-403, CA-450)
- member_id: employee MID (stripped of leading "M")
- taxable_amount: the portion of wages subject to this tax
- subj_gross: the full gross pay amount
- adjusted_gross: equals taxable for most rows
- adjusted_supl_gross: always 0.0
- gross_earnings_amount: used for FUTA when over wage base; otherwise 0
- reference_type: "x"
- reference_id: 1
- notes: from the Notes field on Settings tab

Row Structure

For each employee, rows are emitted in this order:

- Federal Withholding (00-400)
- SS Employee (00-403) + SS Employer (00-404)
- Medicare Employee (00-406)
- Additional Medicare (00-901) - only if applicable
- Medicare Employer (00-407)
- FUTA (00-402) - if enabled
- State employee taxes (per state config)
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After all employee rows, a single Company/Debit row is appended. Its amount equals the sum of all Clearing/Credit amounts in that CSV file.

Split CSV Logic

When enabled, the tool partitions employees into groups so each CSV stays under \$10,000 in total company debit. Employees are processed in order; each is added to the current partition until adding the next employee would exceed the \$10K limit, at which point a new partition starts. Each partition becomes its own downloadable CSV with its own Company/Debit roll-up row.

Data Dump Tab

The Data Dump tab accepts a CSV with MEMBER_ID and TOTAL_GROSS_AMOUNT columns. Column matching is case-insensitive and tolerates underscores/spaces. The CSV can contain any number of additional columns - only those two are extracted.

TOTAL_GROSS_AMOUNT is used as the YTD Medicare wages figure for each employee. This drives:

- Additional Medicare tax calculation (determines if employee is over \$200K)
- The Wisconsin supplemental bracket lookup (uses gross to select the correct rate)

Duplicate MEMBER_ID rows are automatically summed. Dollar signs and commas in the amount column are stripped

before parsing. If an employee in the Employee Data tab is not found in the Data Dump, \$0.00 YTD Medicare wages are assumed (with a warning).

Additional Taxes Tab

Paste a table with MID, Tax Name, and Tax Code columns. Each row adds an extra tax line for that employee beyond what is auto-loaded from the state configuration. Use this for local taxes (city/county), transit taxes, or any withholding not covered by the standard state setup.

Ticket Types

The tool supports ticket type presets that pre-fill the Notes field:

- MDV: Pre-fills "MDV refund - " as the note prefix
- MISC Fully Taxable: Pre-fills "Recording Wages - " as the note prefix

Client-Facing PDF Report

The Results tab can generate a polished PDF report with per-employee breakdowns. This includes gross/net amounts, itemized tax lines, and a summary suitable for sharing with the client as documentation of the adjustment.